SUBCONTRACT

Project Subcontract for Electrical Work

Agreement No. MB-25-0412-S02

This Subcontract ("Agreement") is made effective December 2, 2025 by Meridian Builders, Inc. ("Contractor"), a California corporation, License No. 1083421, and Pacific Electric Company ("Subcontractor"), a California corporation, License No. 1012276, 1788 Doolittle Drive, San Leandro, California 94577, with respect to the project known as the Bayview Clinic Tenant Improvement, 1400 Embarcadero West, Oakland, California (the "Project"), of which Bayview Health is the owner ("Owner").

SECTION 1. DEFINITIONS

(a) "Prime Contract" means the agreement between Owner and Contractor for the Project dated September 22, 2025, together with the drawings, specifications and other documents identified in it.

(b) "Work" means the labor, materials, equipment and services to be furnished by Subcontractor under this Agreement, as described in Section 2.

(c) "Subcontract Documents" means this Agreement, Exhibits 1 through 4, the Prime Contract to the extent it relates to the Work, and all written modifications.

(d) "Substantial Completion" and "Final Completion" have the meanings given in the Prime Contract. "Punch List" means the list of incomplete or nonconforming items prepared by the Architect or Contractor at Substantial Completion.

(e) "Day" means a calendar day unless otherwise stated.

SECTION 2. THE WORK

(a) Subcontractor shall furnish and install the complete electrical system for the Project, including service and distribution, feeders and panelboards, branch circuit wiring, devices, lighting and lighting controls, fire alarm, and low-voltage pathways, as described in Exhibit 1 and in Division 26 and Division 28 of the specifications, together with all permits, inspections, testing and commissioning required for a complete and operating system.

(b) Subcontractor shall furnish all coordination drawings, submittals and as-built drawings required by the Subcontract Documents and shall participate in Contractor's building information modeling coordination process before installing any overhead rough-in.

(c) Subcontractor shall maintain temporary power and lighting for the Project from the date of its mobilization until permanent power is energized, and shall pay the energy charges for temporary power through that date.

(d) Subcontractor shall perform the Work in accordance with the California Electrical Code, all applicable laws and the requirements of the authorities having jurisdiction, and shall obtain and pay for all electrical permits and inspections.

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SECTION 3. COMPENSATION AND PAYMENT

(a) Subcontract Sum. Contractor shall pay Subcontractor, as full compensation for the Work, the sum of Three Hundred Thousand Dollars ($300,000.00) (the "Subcontract Sum"), subject to adjustment only by written Change Order under Section 5.

(b) Schedule of Values. Subcontractor shall submit a schedule of values allocating the Subcontract Sum among the parts of the Work, in the form of Exhibit 2, within ten (10) days after the effective date of this Agreement. Contractor may reject a schedule of values that is front-loaded or that does not fairly represent the cost of each part of the Work. The approved schedule of values shall be the basis for all applications for payment.

(c) Applications for Payment. Subcontractor shall submit an application for payment on or before the twentieth (20th) day of each month for Work performed through the last day of that month, using Contractor's application form, itemized by the approved schedule of values. Each application shall be supported by the waivers and releases required by paragraph (g), by an updated list of sub-subcontractors and suppliers, and by such other information as Contractor reasonably requests.

(d) Stored Materials. Applications for payment may include the cost of materials and equipment delivered and suitably stored at the Project site, and of major equipment such as switchgear, panelboards and lighting fixtures stored at an off-site location approved by Contractor in writing, provided that Subcontractor furnishes evidence of insurance covering the stored items for their full replacement value, evidence that title will pass to Owner upon payment, and access for inspection by Contractor and Owner.

(e) Progress Payments. Contractor shall pay Subcontractor the amount approved on each application, less retention under paragraph (f) and less any amount withheld under paragraph (i), within seven (7) days following Contractor's receipt of payment from Owner for the Work covered by that application. Receipt of payment from Owner is intended by the parties to establish the time for payment to Subcontractor and not to be a condition precedent to Contractor's obligation to pay for Work properly performed.

(f) Retention. Contractor shall withhold five percent (5%) of each progress payment as retention. The parties acknowledge that this rate is lower than Contractor's customary ten percent and has been agreed in anticipation of the retention limit for private works enacted as California Civil Code Section 8811. Retention shall be released upon completion of the Punch List to Contractor's satisfaction and Contractor's receipt of the corresponding retention from Owner, and shall be paid within ten (10) days after such receipt.

(g) Waivers and Releases. As a condition precedent to each progress payment, Subcontractor shall deliver a conditional waiver and release on progress payment, in the form required by California Civil Code Section 8132, for the amount requested, together with unconditional waivers and releases on progress payment, in the form required by Section 8134, from Subcontractor and from every sub-subcontractor and supplier of any tier, for all amounts previously paid. As a condition precedent to final payment, Subcontractor shall deliver a conditional waiver and release on final payment in the form required by Section 8136 from itself and from every lower tier, and within ten (10) days after receiving final payment shall deliver an unconditional waiver and release on final payment in the form required by Section 8138.

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(h) Joint Checks. If Subcontractor fails to furnish satisfactory evidence that its sub-subcontractors, suppliers and laborers have been paid, or if any of them serves a preliminary notice or stop payment notice, Contractor may make payment by joint check payable to Subcontractor and the unpaid party, and such payment shall be credited against the Subcontract Sum as though paid to Subcontractor alone.

(i) Withholding and Backcharges. Contractor may withhold from any payment an amount sufficient, in Contractor's reasonable judgment, to protect Contractor and Owner from loss on account of defective Work not corrected, claims or stop payment notices arising out of the Work, Subcontractor's failure to pay lower tiers, or damage to the property of others. If Subcontractor fails to correct defective Work or to perform any other obligation within three (3) days after written notice, Contractor may do so and charge Subcontractor the cost plus fifteen percent (15%), by deduction from amounts otherwise payable. Contractor may set off against amounts due under this Agreement any sum Subcontractor owes Contractor on any account.

(j) Final Payment. Final payment of the balance of the Subcontract Sum, including retention as provided in paragraph (f), shall be made after Final Completion of the Work, delivery of all closeout submittals, warranties, as-built drawings, test reports and permits signed off by the authorities having jurisdiction, delivery of the final waivers and releases described in paragraph (g), and, if bonds were furnished, the surety's consent to final payment. Acceptance of final payment releases all claims of Subcontractor except those identified in writing as unresolved in the final application.

(k) Lower-Tier Payments. Subcontractor shall pay its sub-subcontractors and suppliers within seven (7) days after receiving each payment from Contractor, to the extent of the amounts attributable to their work, and shall include a provision to the same effect in each of its lower-tier agreements.

SECTION 4. SCHEDULE

(a) Subcontractor shall commence the Work within five (5) days after Contractor's notice to proceed and shall perform it in accordance with Contractor's project schedule, Exhibit 3, as updated. Subcontractor shall attend weekly coordination meetings and shall furnish three-week look-ahead schedules on request.

(b) If Subcontractor fails to keep pace with the project schedule for reasons within its control, Subcontractor shall accelerate at its own cost. Subcontractor shall be liable for liquidated damages assessed by Owner to the extent attributable to Subcontractor's delay.

(c) Subcontractor shall receive an extension of time, but no additional compensation except to the extent recovered from Owner, for delays caused by Owner, the Architect, Contractor or other subcontractors, provided Subcontractor gives written notice within five (5) days after the delay begins.

SECTION 5. CHANGES

(a) Contractor may order changes in the Work by written Change Order or by written construction change directive. Subcontractor shall submit a priced proposal within seven (7) days after receiving a request, with overhead and profit not exceeding fifteen percent (15%) on self-performed work and five percent (5%) on lower-tier work.

(b) Subcontractor shall not be entitled to any adjustment of the Subcontract Sum or the schedule for changed work performed without a written Change Order or directive, and all claims for extra work are waived unless written notice is given to Contractor before the work is performed.

(c) Where a change originates with Owner, Subcontractor's compensation shall not exceed the amount Contractor receives from Owner for the change on account of the Work, less Contractor's markup under the Prime Contract.

SECTION 6. INSURANCE AND BONDS

(a) Subcontractor shall carry the insurance described in Exhibit 4, including commercial general liability with products and completed operations coverage, automobile liability, workers' compensation and employer's liability, and excess liability, with Contractor and Owner named as additional insureds on a primary and noncontributory basis, and shall deliver certificates and endorsements before mobilizing.

(b) Contractor has not required performance and payment bonds for the Work. Contractor may require bonds at any time, in which case the premium shall be added to the Subcontract Sum by Change Order.

SECTION 7. INDEMNITY

(a) To the fullest extent permitted by California law, including Civil Code Sections 2782 and 2782.05, Subcontractor shall defend, indemnify and hold harmless Contractor, Owner and their officers, employees and agents from all claims, damages, losses and expenses, including attorney's fees, arising out of the performance of the Work, to the extent caused by the negligent acts or omissions of Subcontractor or anyone for whom it is responsible, excluding only claims arising from the active negligence or willful misconduct of the indemnified party.

SECTION 8. WARRANTY

(a) Subcontractor warrants that the Work will be free from defects in materials and workmanship for one (1) year after Substantial Completion of the Project, and assigns to Owner all manufacturers' warranties on equipment furnished under this Agreement. Subcontractor shall correct any defective Work within three (3) days after notice, failing which Contractor may correct it at Subcontractor's expense.

SECTION 9. TERMINATION

(a) If Subcontractor becomes insolvent, fails to supply sufficient skilled workers or materials, fails to pay lower tiers, disregards laws or the instructions of Contractor, or otherwise breaches this Agreement and fails to cure within three (3) days after written notice, Contractor may terminate Subcontractor's right to proceed and complete the Work by any reasonable means, charging the excess cost to Subcontractor.

(b) Contractor may terminate this Agreement for convenience, in whole or in part, upon seven (7) days' written notice. Subcontractor shall then be paid for Work properly performed through the termination date and for reasonable demobilization costs, without anticipated profit on unperformed Work.

SECTION 10. DISPUTES

(a) This Agreement is governed by the laws of the State of California. The parties consent to the exclusive jurisdiction and venue of the state courts in Alameda County, California, for any action arising out of this Agreement.

(b) Before commencing litigation, the parties shall attempt in good faith to resolve any dispute through direct negotiation between their principals and, if that fails within fifteen (15) days, through nonbinding mediation.

Subcontractor shall continue the Work and Contractor shall continue to pay undisputed amounts while any dispute is pending.

(c) Subcontractor shall be bound by the dispute resolution procedures of the Prime Contract for any dispute involving Owner or the Architect, and Contractor shall pass through Subcontractor's claims against Owner in good faith at Subcontractor's expense.

SECTION 11. GENERAL

(a) Subcontractor shall comply with all applicable laws, including the California Labor Code and, where the Project is subject to prevailing wage requirements, all prevailing wage, apprenticeship and certified payroll obligations.

(b) This Agreement may not be assigned by Subcontractor, in whole or in part, without Contractor's prior written consent.

(c) This Agreement and the other Subcontract Documents constitute the entire agreement of the parties concerning the Work and supersede all prior proposals and negotiations. Any amendment must be in writing and signed by both parties. If any provision is unenforceable, the remaining provisions remain in effect.

(d) Notices shall be given in writing to the addresses above, by personal delivery, overnight courier or email with confirmation of receipt.

(e) This Agreement may be signed in counterparts and electronically.

Executed by the parties as of the effective date.

MERIDIAN BUILDERS, INC. — By: Daniel Okafor, Vice President, Operations — Date: December 2, 2025

PACIFIC ELECTRIC COMPANY — By: Tom Nakamura, President — Date: December 3, 2025

EXHIBIT 2 — SCHEDULE OF VALUES

Line	Description	Scheduled Value
1	Mobilization & temporary power	$15,000.00
2	Rough-in conduit & boxes	$90,000.00
3	Feeders & panelboards	$70,000.00
4	Wire & devices	$60,000.00
5	Lighting fixtures	$45,000.00
6	Fire alarm & low voltage	$20,000.00
	Subcontract Sum	**$300,000.00**

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